Ditch illusionary HR DOGMA

It's time for HR Professionals to get real about what they need to do.

FROM EGYPT



BY PROF. DR M AMR SADIK
Chairman and CEO of Quodrat Egypt

Human Resources Management (HRM) has become the predominant term to describe the theory and practices relating to the way people are managed at work, and there has been, and continues to be, a heated debate about the take-up and significance of HRM across the economy.

HR responsibilities have become broader and more strategic over time in response to a number of trends. The role has evolved from primarily being responsible for hiring, firing, payroll and benefits administration to a more strategic, if not critical, role. The followingtrends have shaped the function:

- Globalization and Competition Trends;
- Indebtedness ("Leverage") and Deregulation;
- Technological Trends;
- Trends in the Nature of Work;
- Workforce Demographic Trends;
- Economic Challenges and Trends; and
- Pandemics.

And despite all of the above and coupled with the advancement and development of management theories, practices and techniques, many practitioners are still discussing ancient practices and beliefs and, ultimately, are unable to move forward to a more dynamic and strategic role, but are hiding beneath the cloak of old dogma. They then wonder why management and line managers are ambivalent and disappointed about the Human Resources function.

OLD DOGMA

The most vocal critics say that HR Practitioners focus too much on administration issues and lack vision and strategic insight. The truth of the matter is that it is very embarrassing to talk about why that is, but there may be some legitimate reasons and many factors influencing the complex relationship between both the HR function's top management and line managers, such as:

- Confusion about the role that HR is playing at any given time;
- Clarity of HR deliverables;
- Acceptance of Managers to their own accountability for managing their people, and instead want HR people to take care of it for them; and
- HR practitioners don't take the time to honestly understand their company's business and the pressure facing the company.

It is no surprise how many HR people can't explain their firm's business model, competitive industry context or critical product issues.

For that, we suggest that HR Practitioners go through a rotation program in all business units of their organization to understand the challenges and critical issues of the business. Then they will be able to contextualize the critical people processes and prioritize them.

Obviously this won't happen overnight. They have to first ditch the old dogma of being purely administrative and shuffling papers.

So, what is dogma? It is an established opinion, belief and/or principle.

In this contemporary era of Human Resources,

many practitioners are far from being truly effective, efficient and/or adding value in their business, due to the inherited notion of the eternal problem that is the confusion between being an HR Executive and a Personnel (Administration) Executive.

Fixing issues, taking orders and all the good stuff of a personnel administrative function doesn't make you a good HR Executive. The "old days" where HR primarily focused on administration, transactions and employee advocacy have long gone.

THE NEW PARADIGM

Unfortunately, HR does not exist in a vacuum. Most HR functions are reactive in nature, but the business world is changing at an increasingly faster rate. Thus, when HR gets overloaded and falls behind, there is little or no time to catch up.

There is a clear and present avenue to evaluating an HR intervention and demonstrating its worth and professionalism to top management and line managers. HR is the cultural epicentre responsible for ensuring the proliferation of the organizational DNA from employees, to processes, to the company's presence in digital and social media.

The central idea here is that the HR function has to spend more time and focus on building the organizational capacity to survive and thrive, to compete or die.

The time we are living in dictates that practitioners have to understand that the nature of their business has changed and they have been entrusted with an impermeable embodiment of the company's culture through core values and behaviors. Moreover, they have to become a Return on Investment (ROI) function and demonstrate their value and become financially focused and accountable.

Without a doubt, the function must become a competitive advantage. HR must learn to do competitive analysis and ensure that each of the primary HR functions performs at a superior level to that of the HR function of their direct product and talent competitors.

Becoming a competitive advantage also means anticipating the moves or the counter moves of competitors, so that one can continually outperform them. HR must learn how to gather HR-related information on its competitors through competitive intelligence, while at the same time protect the secrecy of its own practices.

One of the things that practitioners have to know is how to formulate serious HR strategies that support business strategy – when you ask top management about their HR strategy, most of the time, if not all the time, you get a blank look. One of HR's biggest difficulties is linking their strategy with the business.

So, don't call yourself a strategist unless you know what you are talking about and know how you are going to execute such agile strategies. HR must learn how to forecast economic conditions and then modify its strategy as those economic and business factors change.

Last, but not least, you have to build the right performance culture. If you are implementing a Bell Curve performance management system, don't focus or spending time on the 10% of low performer employees. Instead, focus on the 70% average to elevate their performance, and instead of rewarding effort, past loyalty and seniority, HR must ensure that all programs focus on measuring and rewarding business results as well as on continuous improvement.

WAY FORWARD

Don't invest heavily in programs that lack impact, and a need for crisis or scandal in order for HR to transform its practices. Get rid of your illusionary dogma of being a lawyer, judge or the detective, Conan Doyle. Invest continuously in yourself and don't stop.

Kidding yourself with magnified titles such as "expert" or "consultant", without the right accumulated experience and science will not make you an expert.

Current business organizations require more accountability, calculated risk taking, rapid learning and, most of all, must provide proof that HR has had a direct impact on business productivity and profitability. So, if you are results oriented, a risk taker and a fast learner, you are likely to thrive. ■

PROF. DR M AMR SADIK is Chairman and CEO of Quodrat Egypt. He is an HBR Advisory Council Member, Adjunct Professor IPE Management School, Paris, and of Middle East Programs for, Victoria University, School of Management, Switzerland.